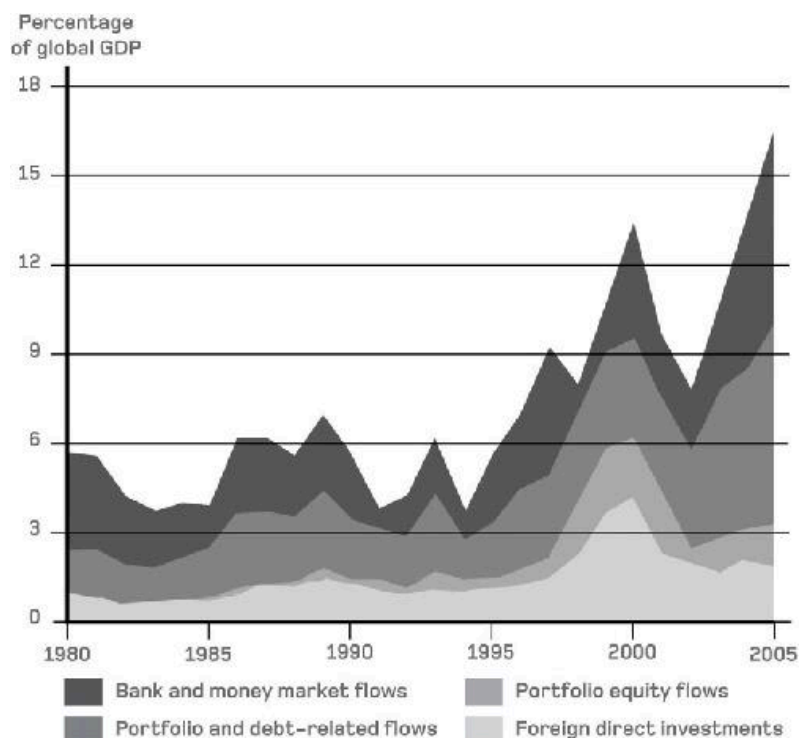


International capital flows

Gross international capital flows, 1980–2005



In the last few decades, the flow of capital between countries has grown much faster than world economic output. Capital moves to a country when someone buys its shares or bonds or makes direct investments in its firms. Most capital moves between advanced industrial nations, but a few developing nations attract some of it. Without foreign capital, a country can only invest the money that its citizens save: capital inflows relieve this constraint, enhancing growth potential.

Measures by a country to open its economy to foreign investment are known as capital liberalization. For developing nations especially, the benefits of such policies have been patchier than economic models might suggest, and some even blame it for the increased prevalence of financial crises in the developing world. It could be that different kinds of capital flows

have different impacts: for example, some studies suggest that direct investment in a country's businesses has more of an effect on growth than loans.